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Belt and Road Initiative

China's Belt and Road investment and construction activity hits record

Rapidly expanding presence in countries signed up to Xi Jinping's global initiative contrasts with US approach



Workers at a Chinese-backed industrial plant in Uganda, part of the initiative launched by Beijing in 2013 © Luke Dray/Bloomberg

Joe Leahy in Beijing

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The value of Chinese companies' new investment and construction contracts in countries that are part of President Xi Jinping's global Belt and Road Initiative has hit a record high this year, a new study has found.

The expansion in overseas markets and China's increased engagement with countries under its flagship BRI infrastructure programme contrast starkly with the approach of the US, where President Donald Trump is imposing bruising tariffs on trading partners around the world.

Chinese construction contracts and investments in BRI members totalled $124bn over 176 deals in the first six months of the year, greater than the total of $122bn for the whole of 2024, according to a study by Australia's Griffith University and the Green Finance & Development Center in Beijing.

"The surge in Chinese engagement this year is surprising, even against the backdrop of steadily growing BRI activity since Covid," said Christoph Nedopil Wang, the study's author. "What sets 2025 apart is the scale: multiple megadeals each exceeding $10bn."

Wang said slow domestic growth and the need to diversify supply chains and markets due to the trade war sparked by Trump's tariffs had prompted some Chinese companies to look abroad, while BRI countries saw "an opportunity to deepen ties with China amid shifting global geoeconomic dynamics".

Launched in 2013, Xi has used the BRI to deepen China's economic influence and trade ties with 150 countries, particularly in the developing world.

The surge in the first half brought the total value of contracts and investments under BRI to $1.3tn, the study found, comprising contracts worth about $775bn in construction and $533bn in non-financial investments.

"China's energy-related engagement in 2025 was the highest in any period since the BRI's inception," the study said, adding that the value of such investment and construction contracts was highest in Africa at $39bn and Central Asia at $25bn.

The study found oil and gas construction contracts and investment surged to a record high of about $44bn in the first half, exceeding full-year 2024, with $20bn of work involving processing facilities in Nigeria.

Kazakhstan received the most investment of any individual BRI partner at $23bn, while Latin America received its lowest value of contracts and investments in 10 years.

Chinese companies' contracts and investment in wind, solar and waste-to-energy projects in BRI partners hit a record of nearly $10bn, while they also continued to invest in coal and ploughed a record nearly $25bn into metals and mining.

Other researchers also said their calculations showed an increase in BRI deals.

US-based Rhodium Group said that announced foreign direct investment by Chinese entities in BRI countries was worth nearly $15.9bn in the first quarter, up 10 per cent from the same period a year earlier.

Rhodium said south-east Asia accounted for much of the investment momentum in BRI countries as companies sought to diversify their production bases from China.

The Griffith and GFDC study said south-east Asia attracted the second-highest investment flows after Central Asia, with nearly $11.3bn.

Rebecca Ray, senior academic researcher at Boston University's Global Development Policy Center, which also tracks the BRI, said the programme had shifted from sovereign lending to FDI as it matured.

IMF data showed that China's net equity abroad soared by more than 50 per cent between 2018 and 2023. This compared with growth of just 21 per cent for the US.

"This shift may be beneficial, as it avoids contributing to sovereign debt problems," Ray said.

In recent years, China has been accused of luring BRI countries into a debt trap by lending heavily to them to fund mega-infrastructure projects.

Ray said rising trade tensions and barriers between the US and Europe and "global south" countries meant trade between China and its BRI partners was set to increase.

She said China had eliminated tariffs for African countries even as many of them faced future carbon pricing-related duties on their exports to Europe and new tariffs on their exports to the US.

"Trade flows will no doubt adjust to meet this new reality, and investment patterns will follow," Ray said.

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